In fact, it has been proven as a consequence of the mishaps in these two ships that the Chinese microchips reportedly also have backdoors installed for easy hacking. To compound issues, even the drydock used to build the *Zumwalt* at the Bath Iron Works in Maine is a Chinese-made drydock. A cooperation agreement signed in 2014 between the US Navy and Royal Navy may have further allowed these dangerous devices to be placed in Britain's other warships, weapons and communication systems.

These mishaps were followed by a trail of forensic investigations that led to the blacklisting of Chinese tech company Huawei by the US Department of Defence. In August 2018, President Trump signed the National Defence Authorisation Act for fiscal year 2019,[6] which bars all US Federal Agencies from, among other things, purchasing equipment or services from Chinese companies like Huawei, ZTE and others, and from contracting with any entity that uses equipment or services provided by these companies as a substantial or essential component of any system.

Further, China imported over US$230 billion worth of microchips in 2018 from the US, Japan and Taiwan.[7] In order to not lose its overwhelming position as the world's factory for a vast majority of products, the Chinese Government embarked upon an urgent plan to step up the domestic production of microchips. China's National Integrated Circuits Industry Investment Fund, a central government subsidy programme aimed at reducing the country's reliance on foreign microchips, has raised around 200 billion yuan (US$32 billion) in 2018 for this purpose.[8] The first round of about 140 billion yuan (US$ 22.4 billion) was allocated to more than 20 companies, including ZTE.[9]

But money isn't the only factor in this ensuing cold war. Microchips require two critical raw materials, sand and freshwater. A 30 cm silicon wafer requires almost 10,000 litres of freshwater for its manufacture. All of China's major rivers like the Yangtze, the Yellow River and the Mekong are already choked with effluents. The Taklamakan Desert provides sand in abundance and there is a huge reserve of water stored in the lakes, rivers and glaciers in the Himalayan and Karakoram mountain ranges. Leading